

Dallas FBI seizes \$2.4M in Bitcoin from new Chaos ransomware operation

Welcome to Lu-GesTA News - where we crack passwords faster than your grandma forgets them!

07/30/2025

Presented by:

Tchesmy

Pelumi

Shanzay

Genevieve

Anthony Jones

Lu-GesTA

News



- On april 15,2025 20 Bitcoins was seized from a cryptocurrency address belonging to chaos ransomware members that is linked to cyberattacks and extortion payments from a variety of Texas companies
- How they do it?
The hackers used the ransomware method to demand bitcoins as payments from the companies.
- At the time of the seizure the bitcoins was valued at \$1.7 million, now its estimate to be valued at \$2.4 million.



What is Ransomware?

- A type of **malware** that encrypts files or locks systems, demanding **payment (ransom)** for decryption.
- Often delivered through **phishing emails, exploits, or malicious links**.
- Used in **double extortion** – attackers steal and threaten to leak data even after payment.



DO NOT CLICK!



Lu-GesTA

- In this case, the group involved is the Chaos ransomware operation.
- Chaos ransomware works as a Ransomware-as-a-Service (RaaS) model.
- Developers create and maintain the ransomware code.
- Affiliates (criminal partners) sign up or team up with ransomware developers, like joining a secret group, to carry out attacks.
- And if any of my cohorts are thinking about signing up... remember, jail time isn't the kind of internship you want! Stick to ethical hacking!
- Affiliates launch ransomware campaigns on victims and share profits with developers.
- For example, an affiliate named "Hors" attacked Texas businesses.
- Hors collected over \$2.4 million in Bitcoin ransom payments.
- The FBI traced and seized Hors's cryptocurrency wallet, disrupting their operations.
- This case highlights how ransomware gangs evolve and collaborate, making cybersecurity defenses more complex and crucial.

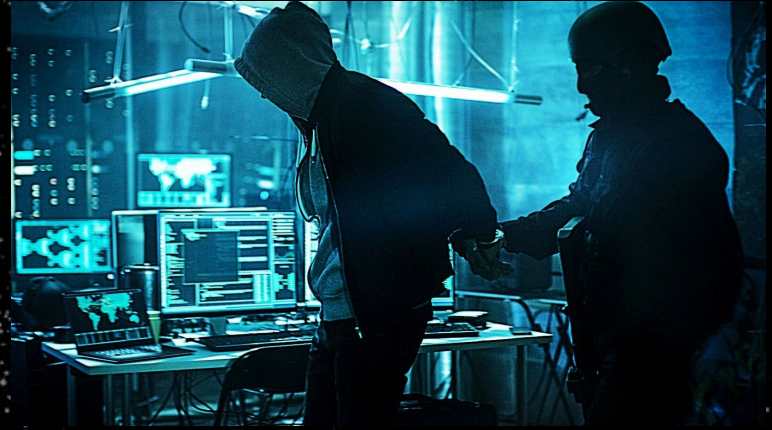
Tracing Bitcoin in Cyber Investigations

- Bitcoin is traceable using blockchain analysis tools.
- FBI traced \$2.4M in BTC to Chaos affiliate Hors.
- Civil seizure filed in Texas court (April 2025).
 - In April 2025, the FBI seized the wallet and filed to keep the funds using a civil forfeiture case.
- Tools used: Chainalysis, TRM Labs, etc.
 - These tools don't just look at one wallet they map entire networks of crypto transactions.
 - They help connect anonymous wallet addresses to real-world identities or ransomware groups



Tracing Bitcoin in Cyber Investigations

- FBI may have worked with a crypto exchange.
- Criminal reused or exposed a known wallet.
- Seized BlackSuit's dark web sites (July 2025).
- FBI took down the BlackSuit ransomware group's dark web servers, which likely helped them find internal information, including wallets connected to Chaos.
- Info from takedown may have exposed Hors.



Technical Insight and Attributes

Key Connections Between Chaos and BlackSuite

- Both use multi-threaded selective encryption to maximize speed and stealth.
- Shared configuration parameters (according to the FBI)
- These parameters serve identical functions: defining encryption keys, controlling file encryption scope, and terminating virtual machines

Ransom Note Structure

- Both groups present themselves as penetration testers, claiming to have “successfully compromised” the victim’s environment.
- Notes threaten data leaks, DDoS attacks, and reputational damage if ransom isn’t paid.
- Victims are directed to .onion URLs for negotiation, with no upfront payment instructions



Technical Insight and Attributes



DOJ/FBI Seizure & BleepingComputer's Confirmation

- In April 2025, the FBI seized **20.289 BTC (~\$2.4M)** from a wallet linked to a Chaos affiliate known as **"Hors"**.
- The **DOJ and FBI did not specify** which Chaos variant Hors belonged to.
- However, **BleepingComputer confirmed** the wallet was tied to the **new Chaos group**, not the older builder-based variant

BROADER IMPLICATIONS

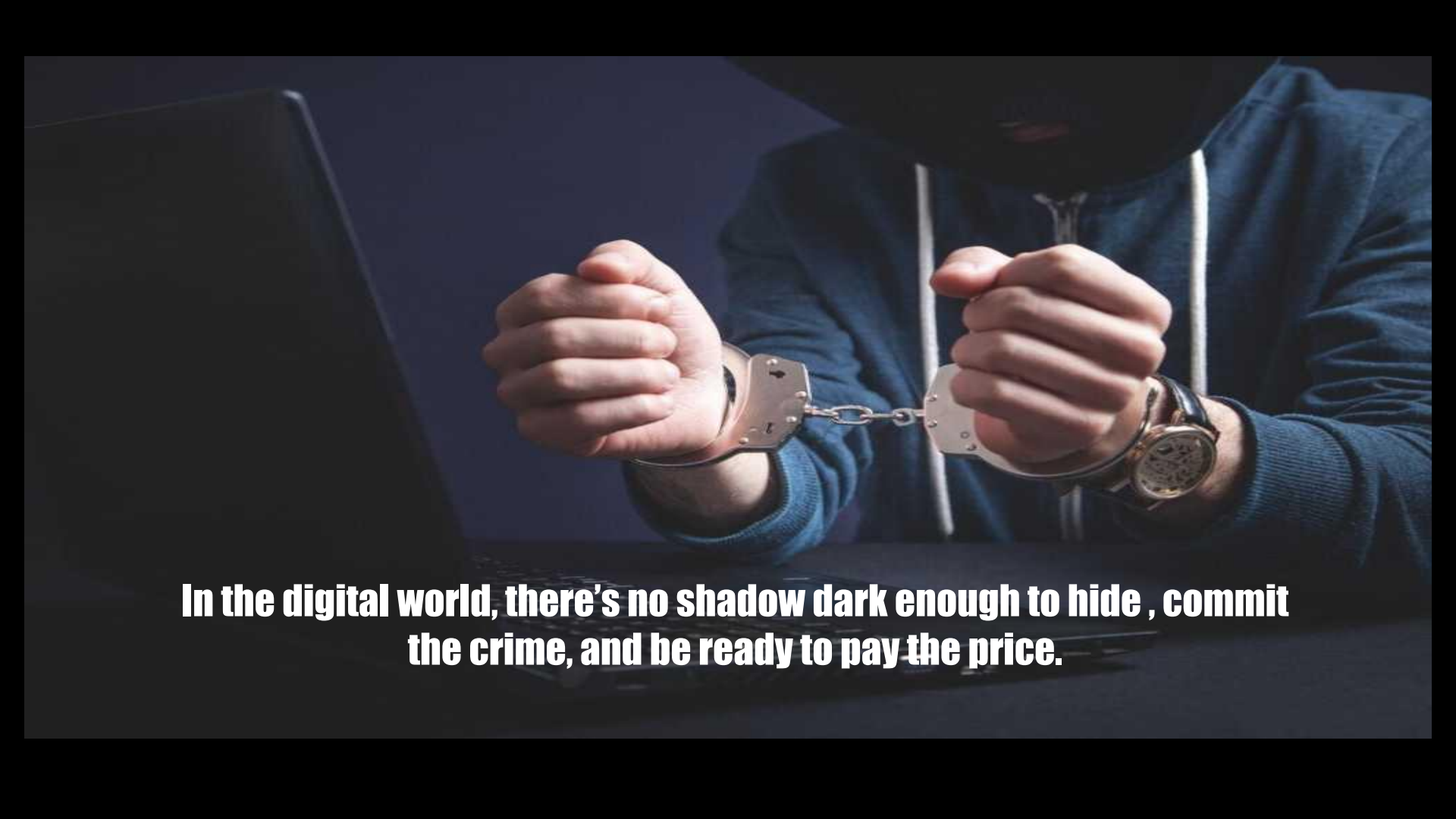
Chaos is the latest rebrand in a long lineage stemming from the infamous Conti ransomware gang. This highlights how cybercriminal groups morph to evade law enforcement and sustain their operations.

Bitcoin's Dual Role

- While Bitcoin is decentralized and often used in cybercrime due to its pseudo-anonymity, it's also traceable.
- The FBI's successful tracing and seizure prove that cryptocurrency can be leveraged in digital forensic investigations.
- This news highlights how cyber criminal groups morph to evade law enforcement and sustain their operations.

Strengthening Cybersecurity Defenses

- Businesses, especially in regions like Texas, face ongoing threats and must enhance incident response strategies.
- Emphasizes the importance of proactive defense measures and collaboration with law enforcement.
- Seizing crypto wallets and dark web sites shows growing technical proficiency in cyber investigations.
- The seizure by the FBI acts as a warning to ransomware gangs: digital anonymity isn't bulletproof anymore.
- The long term impact is that these actions contribute to dismantling organized cybercrime networks.
- It reinforces the message that cybercrime no matter how sophisticated can and will be prosecuted.
-

A person wearing a blue hoodie and a watch is shown from the chest down, sitting at a desk. Their hands are cuffed together in front of them, resting on a dark surface. A laptop is visible on the left side of the frame. The background is dark and out of focus.

In the digital world, there's no shadow dark enough to hide , commit the crime, and be ready to pay the price.